

CORE CURRICULUM



Marketing

Sunil Gupta, Series Editor

READING + VIDEO

Global Marketing

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This reading contains links to online video, denoted by the video icon above. To access these video clips, you will need a broadband Internet connection. Verify that your browser meets the minimum technical requirements by visiting <http://hbsp.harvard.edu/list/tech-specs>.

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1 INTRODUCTION

We live in a global world. We use cell phones manufactured in China and drive to work in cars constructed in the United States using Japanese parts. We wash our clothes in German washing machines, watch television on South Korean sets, tell time with Swiss watches, and drink cocktails made from Russian vodka.

Certainly, international trade is not a new concept. Countries have traded unique goods across borders for thousands of years—along the Silk Road (see **Exhibit 1**) that connected the Far East to the lands of the Mediterranean and Europe, along sea and land routes that transported goods throughout the Roman Empire, and along the infamous triangular trade route between Europe, West Africa, and the American colonies. After World War II, the global economy experienced tremendous growth, primarily from U.S. companies in the 1950s and 1960s, and then by European and Japanese companies in the 1970s and 1980s.¹ With this growth came a new perspective on international trade and with it the birth of formal international cooperative-trade agreements.

But engaging in international trade, or merely importing and exporting goods, is not the same as doing international business, nor is it **global marketing**. International business is considered a broader concept, focusing not only on international trade but also on foreign operations and production. Global marketing, in turn, describes a company's effort in applying the principles learned from its domestic marketing to create an integrated global marketing strategy, not on a country-by-country basis but with a global perspective on all aspects of the **marketing mix**.

EXHIBIT 1 The Silk Road



Note: The red line indicates the land route and blue the water route.

Source: Adapted from NASA/Goddard Space Flight Center derivative image, http://commons.wikimedia.org/wiki/File:Silk_route.jpg.

Interestingly, the first formal discussions on global marketing began only in the early 1980s when Harvard Business School Professor Theodore Levitt announced in a *Harvard Business Review* article that a global market for uniform products and services had emerged, and that corporations should exploit “economies of simplicity” and grow by selling standardized products all over the world. (See the sidebar “Commentary on Theodore Levitt’s ‘The Globalization of Markets.’”) In that 1983 article, Levitt argued: “Gone are accustomed differences in national or regional preference. Gone are the days when a company could sell last year’s models—or lesser versions of advanced products—in the less-developed world.”² This idea proved popular for the next decade, but it turned out that consumers in most countries had trouble relating to the homogeneous products and communications that resulted from companies’ “least-common-denominator thinking.”³

Commentary on Theodore Levitt’s “The Globalization of Markets”

In 1983, Levitt could not and did not foresee the fax machine or the World Wide Web, two technologies that have brought the world closer together. He could not and did not foresee the defeat of communism, the fall of the Berlin Wall, or the admission of some three billion additional consumers into the free market economy. But his viewpoints were prescient nevertheless. Where others saw differences—real or imagined—among the world’s consumers, Levitt focused on the similarities. He understood the power of new technologies such as the personal computer and satellite television to facilitate sharing of ideas, value, and products across national boundaries.

He had the optimism to believe that the good would drive out the bad. And in the corporate boardroom, his 1983 article fundamentally changed the way in which marketing was discussed. Before Levitt, the onus was invariably on managers who advocated standardized products or marketing programs to prove their case. After Levitt, the burden rested on those who argued for marketing adaptation to show how the extra expense of customization would pay out in extra profitability. Changing the way a question is asked can have a profound effect on practice. This was, perhaps, the greatest impact of Levitt’s

Executives then rushed to fashion hybrid strategies, striving for global scale in backstage activities such as technology, production, and human resources, but ensuring that product features, communications, distribution, and selling techniques were customized to local consumer tastes. Although such glocal (think global, act local) strategies continue to dominate in global marketing

today, the tensions between standardization and customization and between local and global remain a challenge to strategists worldwide (see Video 1). Considering the variations in cultures, currencies, languages, geographies, political ideologies and instabilities, regulatory and legal differences, trade policies and tariffs, and so on, you begin to understand the complexities facing businesses today.



VIDEO 1 Be Global; Act Local



Scan this QR code, click the icon, or use this link to access the video: bit.ly/hbsp2utt1q8

And, of course, the introduction of the World Wide Web in the early 1990s changed everything. With advances in technology and with instant global access to information, any company with a website is immediately able to assume a global presence and can be said to be “born global.” With the evolution to what’s popularly known as Web 2.0^a along with the emergence of social media in the twenty-first century, we are again experiencing a fundamental shift in marketing. We are moving from a previous focus on companies to a spotlight on consumers, from individuals to communities, from nodes to networks, and from publishing to participation.⁴

Advances in technology, increasing international trade, growing global income levels, and a convergence of consumer tastes require companies worldwide to examine their business strategies and tactics using a global perspective.⁵ This reading introduces a broad array of fundamentals and strategies that will enable the general manager to better understand these dynamic changes in the global marketing environment. We begin the Essential Reading with a discussion to help managers determine whether or not an organization is ready to “go global,” followed by some tools for pursuing that route. Of course, the decision to enter international markets rests heavily on the organization’s market assessment and development—a topic we will explore at length—followed by a look at the tasks involved in managing global marketing programs. Finally, the Supplemental Reading delves into global marketing in the service industry.

^a Web 2.0 is the Internet technology that has enabled the kinds of collaboration and interactivity that brought us Wikipedia, for example, and allows us to send e-mail through Facebook.

2 ESSENTIAL READING

2.1 Competing in International Markets

When deciding whether or not to venture into international markets with a product or service, organizations need to consider the forces operating within three basic categories: company influences, industry influences, and market influences.

Company Influences

At its core, the decision of whether to go global depends on the organization's growth strategy. Typical business growth objectives may include increasing sales, improving margins (and thus increasing profits or earnings), or other performance measures. Growth can come through a variety of strategies such as consolidation, acquisition, diversification into related or unrelated businesses, **vertical integration** either forward or backward in the supply chain, or geographic expansion. Geographic expansion most often occurs following saturation of the domestic market, which forces companies to look beyond their own borders to find new customers.

Globalization can result in significant opportunities for growth. McKinsey has estimated that, in 2007, half of the global gross domestic product (GDP) came from 380 cities in the developed world. It is estimated that 136 new cities will enter the top GDP ranks by 2025—and all of those cities are expected to be in the developing world, with 100 located in China. Three billion new people are anticipated to join the global middle class in the next two decades.⁶

But is global expansion right for every company? Certainly, the advantages are many: increased customer bases, potential to achieve **economies of scale** and scope through skill and technology transfers, lower costs, ability to leverage a common brand name and marketing collateral, opportunities to expand product and service offerings, and ability to combine resources to create new competitive strengths and capabilities. Even so, executives must determine whether the organization's products, brands, skills, experience, technology, and so on, are truly transferable. They must decide if the company is ready to deal with the complexity and difficulty of coordinating different businesses, product lines, and financial and global logistics issues. The company's risk profile and state of maturity are also important, as is general management's attitude toward global culture.

Executives need to take all of these factors into account before discussing industry and market influences.

Industry Influences

By “industry influences” we mean the following: What is the organization’s *competitive advantage*? How does its product or service offering differ from those of the competition? Typically, this difference can be measured in two ways: It is either a similar product that can be offered at a lower price, or a superior product that delivers additional benefits to the consumer and can command a premium price. At its core, this is no different than domestic competitive analysis.

When executives think about taking the organization global, however, this competitive analysis should also include high-level, local-market analysis. The nature of consumer demand for products in any global industry varies along several dimensions: by country, by product, and then by product characteristics. Strong national brand preferences also influence demand, and demand will vary according to demographic trends and income levels.

For example, when looking at potential demand for its products in Europe, Turkish household appliance company Arçelik discovered that income levels were related to product penetration rates and that the extent of this demand could be calibrated in terms of “threshold incomes”—or the income level at which a household would be willing and able to first purchase a particular appliance. These threshold income levels tended to vary by product, with a household first purchasing an oven, then a refrigerator, a washing machine, a clothes dryer, and, finally, a dishwasher or microwave. National proclivities also affect demand, with the British preferring double ovens and people in sunny Mediterranean countries showing little demand for clothes dryers.⁷

This brings us back to the challenge facing international firms to sell standardized products across all markets. Variation across geographies can lead to a significant number of product variants at any one time, which, in turn, can lead to manufacturing and economies of scale issues.

Market Influences

As we’ve just noted, consumer preferences are a key component in whether or not an organization opts for international growth. At a time when we are increasingly exposed to a broader array of global goods and services, consumers are becoming more receptive to new and different products and, as a result, are expanding their preferences. At the same time, however, we are seeing a convergence of consumer needs as cultures begin to resemble each other with

levels of education, income, and access to information increasing and reaching equilibrium. As Theodore Levitt predicted in his 1983 article, people's desire for material possessions, ways of spending leisure time, and aspirations for the future have continued to become more similar worldwide. These changes in consumer behavior have opened up markets in ways never seen before.

Yet, as Geert Hofstede notes—and many agree—differences in consumer behavior persist across borders. His typology has five dimensions:

- *Individualism versus collectivism*: In collectivist societies, the self-worth of an individual is rooted more in the social system than in individual achievement (e.g., high collectivism in Japan; low in the United States)
- *High- or low-power distance*: Power distance describes how a society treats unequals; high-power distance cultures tend to be less egalitarian (e.g., high in Russia; low in Nordic countries)
- *Masculine versus feminine*: This dimension measures how much the culture is dominated by assertive males versus nurturing females (e.g., high masculinity in Japan; low in Nordic countries)
- *High- or low-uncertainty avoidance*: Uncertainty avoidance indicates the degree to which people are averse to risk (e.g., high avoidance in Greece; low in Jamaica)
- *Temporal orientation*: Long- versus short-term expectations and time horizons; also called Confucian work dynamism (e.g., longer term in most Asian countries; shorter term in the United States and Britain).^{8,9}

A successful global marketing strategy, then, should incorporate a deep understanding of local customs to ensure that the program does not conflict with or negatively affect consumer perception, preference, and purchasing decisions. Consideration of religion, attitudes, beliefs, values, aesthetics, methods of communication, language, dietary preferences and restrictions, and tastes must be addressed across the entire marketing mix and factor heavily into any globalization strategy decisions. (See the sidebar “KFC’s Success in China” for an example of how KFC customized its offerings to achieve success in China.)

KFC's Success in China

Following its failure to develop a successful and sustainable business model in Hong Kong in the mid-1970s, the U.S.-based fast-food company KFC (formerly known as Kentucky Fried Chicken) franchised its operations with a local company, took its lessons learned in Hong Kong, and entered the Chinese market in 1987. Using localization techniques, KFC developed special menus, instituted continuous improvement techniques, introduced new products, and successfully took advantage of the fact that chicken is much more popular than beef in China, resulting in twice as many KFC stores as McDonald's. Carefully positioning itself as a "Western brand," KFC's advertising depicts people of all ages, families, and groups of friends in hopes of appealing to a broad audience. Now part of the Yum! Brands group, KFC China has enjoyed significant growth in the estimated \$28 billion fast-food market, successfully employing a targeting and localization approach.

Source: Adapted from a case study presented in Warren J. Keegan and Mark C. Green, *Global Marketing*, 6th ed. (Upper Saddle River, NJ: Pearson Education, 2011), p. 267.

Like it or not, a product's country of origin often affects consumer purchasing behavior as well. Having been exposed to many products over time, we, as consumers, naturally associate certain geographic areas with quality (an association known as the **country of origin effect**). For example, we associate France with wine, Italy with sports cars, and Switzerland with watches. Conversely, competing products from other countries, particularly developing markets, are frequently perceived as less authentic or of lower quality.

Chocolates El Rey offers a good example. Processors of some of the best cacao beans in the world, the Venezuelan company commands a 30% price premium for its beans, the key raw ingredient in chocolate. These beans are bought by the great chocolate houses in Switzerland and Belgium for use in products that are sometimes even more expensive than caviar. But El Rey chocolate is relatively difficult to find outside of its home market, and consumers aren't willing to pay a premium price for chocolate from Venezuela due to the widespread belief that great chocolate comes only from Europe. This *provenance paradox* is a catch-22 that leaves companies like El Rey—and winemaker Concha y Toro in Chile, IT consultancy Infosys in India, and dozens of others—unable to price products in a way that generates the revenue needed to fuel global growth. (For further discussion of this paradox, see *Core Reading: Brands and Brand Equity* [HBP No. 8140]).¹⁰

Finally, beyond the company, industry, and marketing influences we have discussed thus far, organizations should also consider the following factors when determining whether global expansion is the best business strategy:

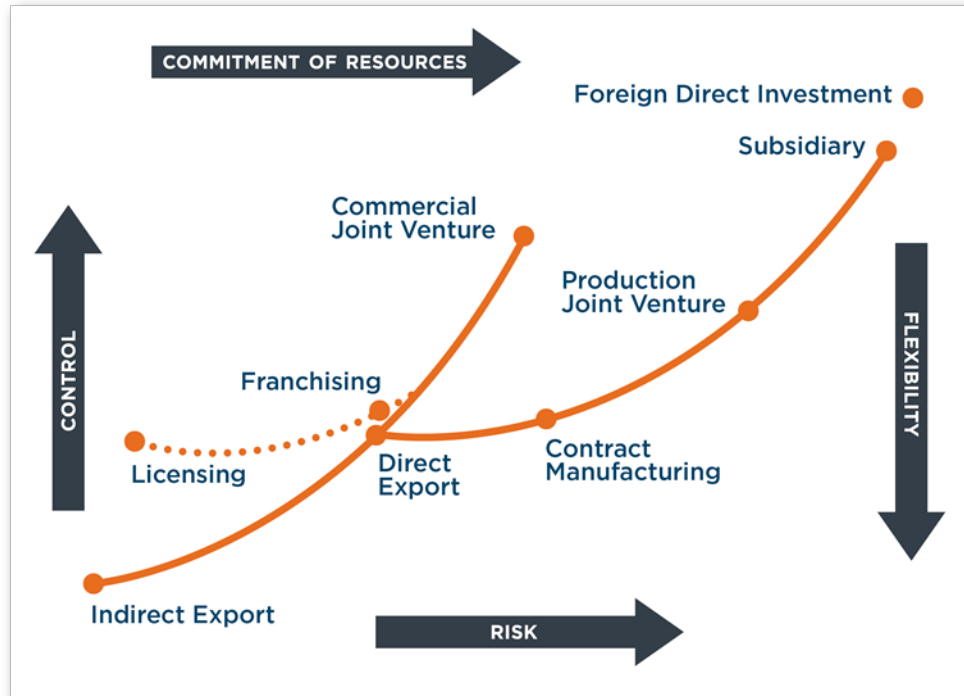
- *Economic and political systems and policies* are interrelated and constantly in flux. They also vary widely across the globe and play a large role for a business that is deciding which international markets to pursue.
- Countries active in international trade naturally have an interest in protecting politically powerful elements in their own economies. As such, *trade policies* and *economic controls* have come into existence, creating both tariff and nontariff barriers to free trade.
- Certain regions of the world have entered into what are called *free trade agreements* (FTAs) or *regional trade agreements* (RTAs), which create duty-free trade zones while also allowing members to maintain independent trade policies with countries outside the agreements.
- Companies may also face various *legal and regulatory hurdles*. Typically, local legal systems determine how business is conducted in a foreign country. Technically, there is no enforceable collection of international laws. Regulations exist only to the extent that individual countries agree to follow certain standards of conduct. Originally focused on political issues and the restraint of conflict, international laws and regulations have slowly grown to include matters of commerce, including import/export, pricing, production, communication, and distribution.
- The way *intellectual property* is treated can also influence the countries in which companies choose to do business. The term “intellectual property” typically encompasses *patents*, which protect novel inventions and products from competition for a specific period of time; *trademarks*, which protect marks, logos, and taglines that companies use to distinguish their products or services; and *copyrights*, which protect creative works including writing, music, and film.
- Violation of intellectual property rights, such as *piracy* and *counterfeiting*, has become a serious global problem. The International Chamber of Commerce (ICC) estimates that 2.5 million jobs have been lost to illegal counterfeiting, and that total associated global costs will exceed \$1.7 trillion by the year 2015.¹¹

2.1.1 How to Go Global

Organizations committed to entering a foreign market can do it in a variety of ways. Methods of market entry depend on factors such as the amount of control the organization wishes to have over its foreign operations; the market size, potential for growth and profit, and the amount of political and/or economic risk; government regulations, competition, cultural similarities/differences, and local infrastructure; and the amount of resource commitment needed. All of these considerations influence how an organization chooses to break into a

foreign market. **Exhibit 2** illustrates various methods for going global, and how the methods are related.

EXHIBIT 2 Modes of Global Market Entry



Source: Adapted and translated from *Marketing Internacional*, 4th ed., 2002, ESIC Editorial, by Rosario Garcia Cruz, p. 165.

Looking at each mode of entry individually, we have:

- *Indirect exporting*, the simplest of these methods, occurs when a company uses a local third party, such as a trading company or export agent, to handle all the logistics of exporting its goods overseas, including customer payments and the associated credit risk.
- *Direct exporting*, on the other hand, provides a company with greater control, as products are typically exported to an intermediary located in the foreign country or handled through a domestic department or division. It also provides greater return and participation in marketing mix activities, which can include foreign-based sales representatives.
- *Licensing* of patents, trademarks, know-how, design, production processes, and so on, for a fee and guaranteed royalty payments, is perhaps the quickest way to a foreign market. Disney has thrived through licensing deals, both domestically and overseas. Disney's consumer products group website details the types of licensing in which the company is interested. This extensive list includes apparel, accessories, consumer electronics, appliances, food, health and beauty, home and infant products, publishing, stationery, and toys.¹² Through the licensing of its characters, names, and logos, Disney is able to leverage its media empire with little effort but with great profit.

- Through *franchising*, a more complete form of licensing, franchisees obtain the right to use the franchisors' trade names, trademarks, business models, and often marketing plans, operating manuals, standards, quality monitoring, and training. This is in exchange for a franchise fee and future royalty payments.
- When companies choose *contract manufacturing* or *outsourcing*, they provide the necessary technical specifications to a local company to manufacture or assemble products or parts of products. Many companies now solely focus on contract manufacturing.
- The creation of *joint ventures*, or partnerships between two or more parties in a particular market, allows companies to share risk through joint ownership of a newly created business entity. Partnering with a local company not only allows for greater participation in profits than the modes of entry previously discussed, but also allows the foreign company to learn about a new market with relatively lower financial and political risk.
- Full foreign ownership of a business can come about through two basic mechanisms: *acquisition/merger*, where a company gains instant entry into the foreign market, with facilities, operations, relationships, expertise, and brand names; or *greenfield investment*, where a company creates a business entity from the ground up in the foreign country. Both are also referred to as *foreign direct investment* (FDI).

With technological advances, falling trade barriers, and a growing belief that globalization is inevitable, companies have been forced to develop more flexible and innovative strategic partnerships to access foreign markets. Airlines are an example of the effective use of global alliances through which they offer frequent fliers easier access to benefits, smoother international flight connections, and improved customer service.

In addition, a company's market-entry strategy should be modified as a particular market evolves. Products often go through a modified **life cycle** when being introduced globally, which can greatly influence marketing strategy. A good example is Japan's Kikkoman Corporation, the world's largest producer of soy sauce, which used a variety of entry tactics to penetrate the U.S. market in a long-term time horizon.

After World War II, Kikkoman began exporting small amounts of soy sauce to California and Hawaii and, by the early 1950s, the company noticed sharply increasing U.S. demand for the product. U.S. military troops, government advisors, and businessmen stationed in postwar Japan had acquired a taste for Japanese food, particularly soy sauce. In 1957, Kikkoman established a marketing subsidiary in San Francisco and gradually expanded the number and locations of U.S. sales offices: Los Angeles (1958), New York City (1961), Chicago (1965), Atlanta (1977), and Dallas (1999). Kikkoman initially imported all its soy sauce for the U.S. market from Japan, but, as demand grew, it looked for

ways to cut shipping costs. In 1967, Kikkoman entered into a co-packing arrangement with a salt producer in Oakland, California; bulk soy sauce was transported from Japan in metal tanks to the salt plant in San Francisco Bay, where it was packaged for distribution.

In 1970, Kikkoman started planning a manufacturing plant in the United States. Because Kikkoman was already purchasing all the soybean and wheat supplies for soy sauce production from U.S. producers, elimination of transportation costs and time lags was desirable. The company located the plant in Walworth, Wisconsin, due to its proximity to agricultural supplies. Originally estimated to be profitable within five years, the U.S. operations became profitable within three and a half years. In 1998, the company opened a second U.S. plant in Folsom, California, significantly expanding its capacity. By 2002, approximately 80% of Kikkoman's soy sauce sold internationally was manufactured in the United States, where it continues to dominate both the soy and teriyaki sauce categories.¹³

2.2 Market Assessment and Development

While an understanding of all these global fundamentals is important, the decision on whether and how to enter international markets comes down to two basic questions:

- Will buyers in foreign markets respond favorably to the same products, packaging, and promotion as domestic customers?
- If they do not, to what extent must offerings be customized for foreign tastes and requirements?¹⁴

The answers to these questions are found through market research—basically the same research that any manager would apply to domestic markets, but also taking into consideration the differences previously discussed in the political, legal, economic, social, and cultural environments.

2.2.1 Global Market Research

The American Marketing Association defines market research as “the systematic gathering, recording, and analyzing of data with respect to a particular market, where *market* refers to a specific customer group in a specific geographic area.”¹⁵ Others note that “research aids in assessing where the best opportunities lie, where and how to enter new markets and expand operations, how to develop the most effective marketing strategies to operate in these

diverse environments, and how to tailor strategy to the continually changing global landscape.”¹⁶

Consider the following commonly cited examples of global marketing blunders:¹⁷

- Coca-Cola had to withdraw its two-liter bottle in Spain after discovering that few Spaniards owned refrigerators with large enough compartments to hold it.
- General Foods squandered millions of dollars trying to introduce packaged cake mixes to Japanese consumers; it failed to notice that only 3% of Japanese homes were equipped with ovens.
- When it first entered the Argentine market, Walmart supplied only T-bone steaks at the meat counter although Argentines prefer rib strips and tail rumps. It also tried to sell tools and appliances for 110-volt electric power, when the standard home voltage in Argentina is 220 volts.

How do such seemingly simple mistakes happen? Proper market research can be time consuming and costly. Companies often rush existing products into new markets to gain greater sales volume. Senior managers can also be skeptical of the value of market research. For example, Jerry Pearlman, former CEO of Zenith Electronics, once commented: “Doing market research slows new product introduction. We need to speed product development. . . . Empirically, I generally have not found marketing research to be useful for innovative products and have generally avoided doing it.”¹⁸ Indeed, critics of Theodore Levitt might argue that companies like Zenith took his theories too much to heart by applying headquarters-based standards and product and market assumptions to a global market that was better suited to customization.

When considering globalization, companies typically begin with a strategic screening process, identifying attractive market opportunities by applying sets of criteria against data sources. These data sources are called *secondary research* since they are most often produced by outside entities. These criteria can include factors such as cultural similarity to the domestic market (language and customs), geographic proximity, economic advancement or wealth (per capita income, gross domestic product, and so on), and the level of competition/barriers to entry.

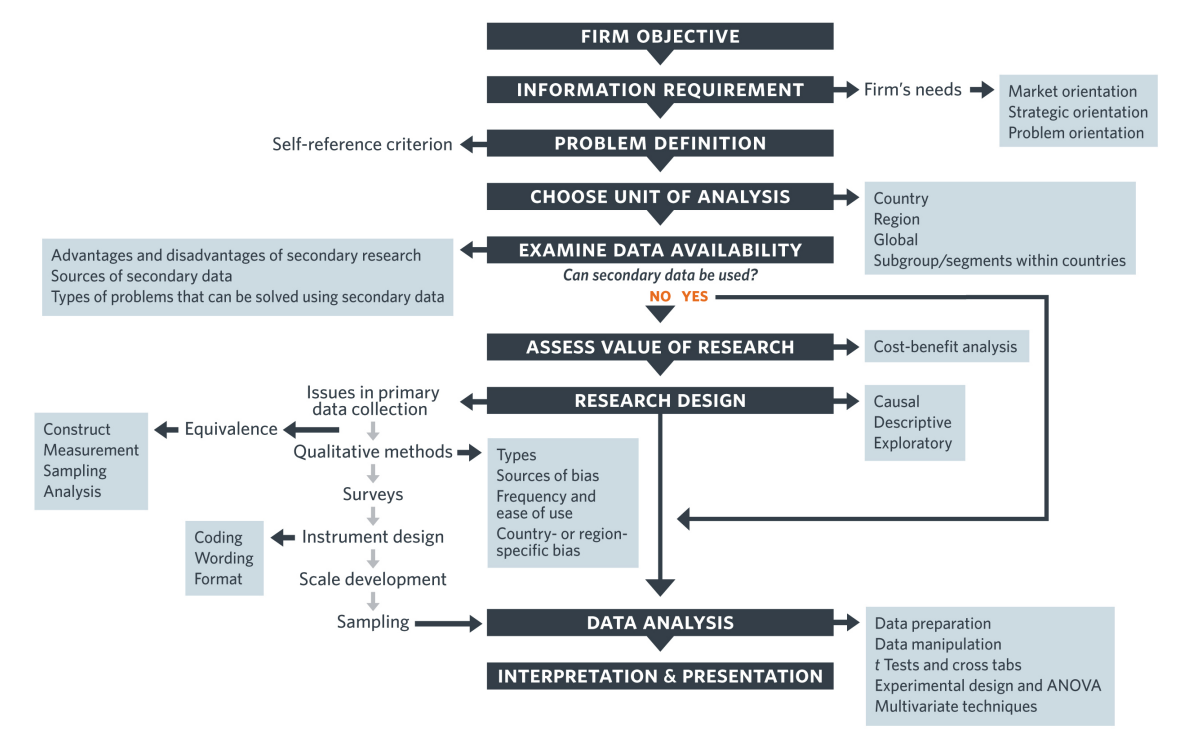
Secondary research sources generally include databases compiled by government and private organizations. Commonly accessed information includes international trade statistics, country economic data, product and brand sales trends in various markets, industry reports from chambers of commerce, and public directories of foreign companies. The Internet has, naturally, made this type of research much easier to access. Note, however, that problems including accuracy and age of the data, the ability to compare data

across different sources, and the grouping of sometimes unrelated data can render secondary research difficult to apply.

Primary research, on the other hand, is conducted by a company that has established a specific product hypothesis and identified a desirable target market. This research can be handled by in-house resources, external agencies specializing in global market research, or a combination of both. Which strategy to employ depends on available resources, preexisting market knowledge and access to internal data, and the depth of information required.

V. Kumar suggests a nine-step process for conducting international market research (see **Exhibit 3**). While this process does not differ greatly from domestic research, for global markets certain steps require additional planning. First, researchers must overcome the internal bias toward their own cultural values; using an open approach will likely yield the best results. Second, researchers must carefully select whether the appropriate unit of analysis is geographic (and, if so, should it be at the country, regional, or global level) or demographic (different subgroups or segments within or across countries). Third, in designing complex global research programs, researchers must take into account a multitude of factors that may differ significantly from domestic preferences, including:

- *methods of data collection* (focus groups, questionnaires, sampling, and so on)
- *methods of contact* (in person, or by mail, e-mail, Internet, or telephone)
- *design* (syntax, language, and visual imagery)
- *scale of data collection* (the size of a sample required to get a good statistical result)
- *structure and incentives* (taking into consideration different societal norms and currencies).¹⁹

EXHIBIT 3 International Market Research

Source: Adapted from Kumar, V., *International Marketing Research*, 1st (Upper Saddle River, NJ: Pearson Education, 2000). © 2000. Printed and Electronically reproduced by permission of Pearson Education, Inc., Upper Saddle River, New Jersey.

Levitt would certainly argue that this level of complex market research should not be necessary to enter global markets and, while this may be true in some industries, the management team at L'Oréal would likely disagree. In fact, L'Oréal credits its success to its ongoing strategy of launching innovative products into new geographies. L'Oréal spent 3.5% of its revenue on R&D (research and development) in 2010, more than competitors Procter & Gamble (2.7%) and Revlon (1.7%). L'Oréal CEO Jean-Paul Agon believes, "It is clear that people on different continents have their own specific needs, habits, dreams, and desires—so one product, or even one formula, does not fit all."²⁰

To understand consumers at a local level, L'Oréal created a "geocosmetics" corporate function. Its goal was to study the beauty trends around the world and deliver actionable consumer research results to help regional teams modify and deliver the best products for that region. In 2003, L'Oréal created the L'Oréal Institute for Ethnic Hair and Skin Research in Chicago and, in 2005, opened a similar research center in Pudong, China. These facilities complemented an existing center in Japan and 12 evaluation centers around the world. By 2010, L'Oréal had developed more than 300 cosmetic and hair products designed specifically for Chinese consumers.

L'Oréal does, however, vary its practice of adapting global products to local markets by developing innovations it will roll out regionally or globally where appropriate. The product line Garnier Men, for example, was originally developed for the Indian market, but was subsequently rolled out to the rest of Asia. As a result of its focus on maintaining a global brand while also adapting to local markets, in FY 2012, L'Oréal's largest component of global sales (almost 40%) emanated from emerging markets.²¹

2.2.2 Developmental Marketing Strategies

As with domestic marketing, global marketing strategy development requires significant *market segmentation*, or careful definition of which customers will likely respond similarly to a company's product offering. This segmentation can take many forms:

- *geographic* (global, by country, by region)
- *demographic* (by income, population, age distribution, gender, education, and so on)
- *behavioral* (loyalty, usage rates, benefits sought)
- *lifestyle* or *psychographic* (by attitudes, values, opinions)
- *ethnicity* (Hispanic populations in a multi-country region, for example).

Through this analysis, it is possible that global or universal segments may emerge, such as the global youth segment and international business travelers, or regional segments such as Generation Ys in Europe. A Harvard study²² on global brands defined four global segments by their attitudes toward global products and companies:

- *Global citizens* constitute about 50% of respondents, on average, and rely on the global success of a company as a signal of quality and innovation. At the same time, they are concerned whether the companies are behaving responsibly on issues like consumer health, the environment, and worker rights.
- *Global dreamers*: About 23% are consumers who are less discerning about transnational companies but more ardent in their admiration of these companies. They see global brands as quality products and readily buy into the myths these brands propagate, but tend to be less concerned with issues of social responsibility.
- *Antiglobals*: About 13% are skeptical that transnational companies can deliver higher quality goods, and they don't trust global companies to behave responsibly.
- *Global agnostics*: Typically about 8% of consumer populations don't base purchase decisions on a brand's global attributes.

Of course, how a market gets segmented depends heavily on the industry in question. If the product targets a largely homogeneous or mass market, segmentation might not even be necessary. But usually it can be a valuable step in determining marketing strategy, and by targeting only certain markets, organizations can avoid appearing as a threat to strong local competitors. Most companies, in fact, use a combination of universal, regional, and country-specific targeting strategies. Jack Daniel's, for example, the Tennessee whiskey brand, targets a variety of diverse markets. It uses a low price point to pursue young social drinkers in Australia and New Zealand, while targeting older urban professionals in China, where a single bottle can cost more than \$30.²³

Once market segments have been correctly identified, *product positioning* becomes an important next step in developing an international marketing strategy. Again, marketers have the complex decision of how much to differentiate between various markets. Where tastes and preferences are fairly uniform worldwide, a single positioning strategy allows a company to benefit from global branding, messaging, packaging, and a consistent worldwide image. Interestingly, some products enjoy premium status *only* outside of their local market. Levi's jeans and Heineken and Budweiser beers, for example, target upscale markets and often command a premium price when imported into foreign regions.

Despite its many benefits, however, a uniform positioning strategy rarely works well across borders. It is often difficult to find truly universal themes that connect emotionally with consumers worldwide. What might resonate well in one culture might fall flat in another. This same theme might outright offend consumers in other cultures because of differences in cultural attitudes toward the use of humor, nudity, sarcasm, and personal hygiene, for example. As a result, companies struggle to maintain consistent messaging, while also targeting specific global segments. Some additional strategies have been described that help companies focus more directly on international marketing positioning issues:

- *Global consumer culture positioning* (GCCP) identifies a brand as a symbol of a specific global culture, instilling in its consumers a feeling of being "cool/hip," knowledgeable, or sophisticated. GCCP tends to work best where target consumers share core values, attitudes, and aspirations and where products satisfy universal needs. This positioning works particularly well in two basic categories: high-tech products (e.g., cell phones and luxury automobiles) and high-touch products (e.g., designer fashions and personal luxury items).
- *Local consumer culture positioning* (LCCP) lies across the spectrum from GCCP, creating brand positioning that identifies well with a particular local culture through association with local cultural norms because it has been manufactured locally using local ingredients and facilities (e.g., food products and household nondurable goods).

- *Foreign consumer culture positioning* (FCCP) tends to associate a given product or brand with a specific foreign culture. Successes here include Swiss watches, German automobiles, and, as mentioned previously, Belgian chocolates.²⁴

These kinds of positioning strategies help to differentiate products globally. Awareness of the strategies of local competitors can sometimes provide an opportunity to break out from a pack, as can understanding a country or region's stage of economic development or its consumers' aspirations.

2.3 Managing Global Marketing Programs

Walk through a busy shopping district in almost any developed country in the world and you will perhaps pass a Chanel outlet, a Movado store, or an Apple store, with a Starbucks or a 7-Eleven seemingly on every other corner. It isn't until you glance up and see a famous landmark that you realize what city you're in. Truly, global brands are everywhere.

But how do brands go global in the first place? What kinds of adjustments do organizations need to make to their products and services to garner their acceptance in foreign countries and cultures? The fact is that running an international marketing program entails careful consideration of choices in branding; product adaptation; packaging; promotion, advertising, and selling; pricing; and placement or distribution. Let's look at each of these elements in turn.

2.3.1 Branding

Before the Internet age, communication circulated mostly within the borders of countries, helping to build strong national cultures. Toward the end of the twentieth century, however, much of what was popular culture spread globally, and the global brand became a key symbol of a blurring of borders. But is global branding of a product or service appropriate in all cases? Should a company use the same brand name and logo worldwide? Or should it differ across geographies?

To have a truly global brand means maintaining a consistent identity with the same product contents, the same benefits and value proposition, and the same positioning. Gillette (now a Procter & Gamble brand) is often listed as a truly global brand, particularly in the razor category, utilizing the same brand names and even a single ad campaign around the world. Apple is also included on this list, with its computer line, tablets, and music-listening devices. But, in fact, very

few brands are truly global. Even Coca-Cola, although one of the most globally recognized brand names, modifies both its logo and its ingredients around the world (see **Exhibit 4**).

EXHIBIT 4 Coca-Cola



Source: © iStock.com/pengpeng

Certainly, one advantage of global branding is economy of scale, as development costs and promotion can be spread over greater volumes of product. Companies can also enjoy greater brand awareness, without the need for reeducation in different markets. But occasionally a company will need to create a local brand because another company already has rights to that name in that region. For example, when Modelo, maker of Corona Beer, entered the U.S. market, it discovered a conflict with the similarly named beer “Cerveceria Corona” by a Puerto Rican brewery. Until it purchased that brand from the brewery five years later, Modelo faced difficulties not only in getting approval for sale of its Corona beer in many eastern U.S. states but also in developing a clear national sales and marketing plan for the brand.²⁵

Kotler and Keller describe Ten Commandments of Global Branding that help companies leverage the advantages of global branding while minimizing the potential downside. These commandments are detailed in **Exhibit 5**.

EXHIBIT 5 The Ten Commandments of Global Branding

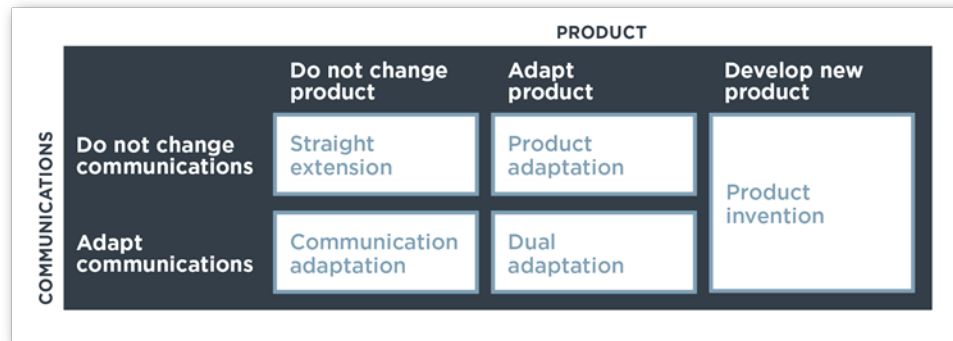


Source: Adapted from Philip Kotler and Kevin Lane Keller, *Marketing Management*, 14th ed. (Upper Saddle River, NJ: Pearson Education, 2011), p. 609. Originally adapted from Kevin Lane Keller and Sanjay Sood, "The Ten Commandments of Global Branding," *Asian Journal of Marketing* 8, no. 2 (2001): 97–108.

2.3.2 Product Adaptation

Naturally, some products lend themselves better than others to global standardization, given variations, country-specific tastes, and cultural norms.

Warren Keegan suggests adaptation strategies (see **Exhibit 6**) when entering international markets that include ways to extend, adapt, or create. The simplest of these strategies requires no change to either the product or the supporting communications. Again, this can work well with high-end consumer goods and also with many business-to-business/industrial products where messaging and benefits are similarly perceived across borders, but this strategy is not as effective with consumer products that tend to be much more representative of local cultures. In some cases, companies can effectively reposition the same products using varying communication strategies. For example, IBM modifies its positioning for its service business, emphasizing its money-savings benefits in the cost-conscious United States and its modernization capabilities in developing countries.²⁶

EXHIBIT 6 Adaptation Strategies

Source: Adapted from Kotler, Philip; Keller, Kevin, *Marketing Management*, 14th, © 2012. Printed and Electronically reproduced by permission of Pearson Education, Inc., Upper Saddle River, New Jersey.

In most cases, however, some product adaptation is necessary to properly target international consumers. Research has indicated that “the average product requires only four to five adaptations out of a set of eleven marketing elements: labeling, packaging, materials, colors, name, product features, advertising themes, media, execution, price, and sales promotion.”²⁷ This can sometimes be done while maintaining consistent marketing communications, which automobile companies frequently accomplish through minor variations to the same basic models, or by adapting both the product and the communications to fit a particular market’s need or perceptions of value and quality. These adaptations can be by region, by country, or even by city, targeting broader or more specific consumer groups.

Euro Disney is a commonly used example of an adaptive strategy. Following the instant success of Tokyo Disneyland, which is nearly identical to the original Disneyland in Anaheim, California, the company did not believe it needed to modify its product for the European market. However, French consumers did not respond well to having American values forced on them. Disney banned alcohol (although wine is commonly served with meals in France), and French employees took offense when they were forced to comply with Disney’s strict personal appearance code. Rebranded as Disneyland Paris, the company made adaptive changes to better suit local culture and customs; Disneyland Paris is now one of the biggest tourist attractions in Europe.

When product extension and adaptation strategies are not suitable for a foreign market, companies can elect the more expensive option of truly innovating—that is, creating a novel product to target a specific foreign market. When approaching the Chinese market, Nike realized it would need to make some adjustments, including in its aggressive “Just Do It” campaign (which conflicted with the Chinese sense of harmony and non-dissent) and in the price of its shoes, which are far too expensive for most rural Chinese. Nike therefore

created an entirely new shoe to be manufactured in China using less expensive materials, and launched a local advertising campaign using Chinese athletes and custom messaging.

Video 2 discusses how Kikkoman successfully leveraged a “think from the outside in, versus from the inside out” strategy in approaching the United States marketplace.



VIDEO 2 Change the Product, Not the Customer



Scan this QR code, click the icon, or use this link to access the video: bit.ly/hbsp2plp697

Sunbeam also achieved great success through the development of a new global product platform. (See the sidebar “The Global Product Platform.”)

The Global Product Platform

One way around the trade-off between efficiency and market suitability is to design a global product platform that can be altered inexpensively to accommodate the requirements of different national markets.

The global steam iron designed by Sunbeam and its then international affiliate Rowenta provides an early example of success. In this case, engineers, marketers, and executives of the two companies were brought together to review market research and to study the products of key competitors. Two committees were created: a marketing committee, charged with determining the feature set required by customers in different markets; and a technical committee, charged with creating a design capable of providing those key features and satisfying regulatory standards in all national markets.

The final platform design, when compared with Sunbeam’s existing steam iron, made major reductions in parts (4%) and fasteners (8%). Its elements were so modular that the company could manufacture a wide variety of derivative irons from the same platform while still retaining a cost advantage. The Sunbeam Global Iron was introduced in 1986 and immediately boosted the company’s annual iron sales by more than 300%.

Source: Excerpted and adapted from “Marketing Across Borders: It’s a Big, Big World,” in Harvard Business Essentials: Marketer’s Toolkit: The 10 Strategies You Need to Succeed (Boston: Harvard Business Press, 2006).

2.3.3 Packaging

While the packaging of a product is often an integral part of its branding, it serves dual purposes since it is both functional and promotional. When considering global markets, several factors come into play:

- *Shipping*: If a product is not manufactured locally, companies must consider time, distance, and environmental factors that could affect the product and the condition of its packaging.
- *Functionality*: Most consumers outside the United States are more concerned with functional packaging than convenience. Plastic and disposable containers can be seen as wasteful; consumers often look to reuse packages in other ways.
- *Aesthetics*: While critical in promotion, the look of packaging can be perceived differently across borders. The Japanese are particularly attracted to beautiful packaging, while certain colors connote very different meanings across borders. (White is a color of mourning in India, while green signifies disease in Malaysia.)
- *Modifications/labeling*: Whether for safety or other reasons, many countries require certain information on packaging. These requirements can be related to language (use of both English and French on packages in Canada, for example), content label specifications, size, material, care instructions, recycling codes, and so on.
- *Local customs*: Over time, certain cultures become accustomed to seeing products packaged in a certain way. For example, in the United States, products are often sold in multipacks, but this is less common in other markets, where consumers may want to purchase an individual bottle of beer or a single cigarette. Similarly, Americans have been slow to accept aseptic packaging, although the ultra-high-temperature process for packaging milk and juice in unrefrigerated containers is quite popular in Europe and Asia.
- *Other costs*: In some markets, importers are responsible for paying recycling costs of imported products. In Japan, for example, manufacturers pay costs associated with the collection, sorting, transportation, and recycling of all paper and plastic containers and packaging.²⁸

A package that can serve across cultures should also be designed with the values of different cultures in mind. With newly introduced products, the essential function of a multicultural package is to become a recognized brand over time. Brand recognition is crucial, which can make designing for a broad spectrum of cultures quite difficult.

2.3.4 Promotion, Advertising, and Selling

Promoting and advertising a product or service overseas present many challenges. These range from the more obvious legal restrictions (Islamic law bans alcohol advertising, while the United States bans advertising cigarettes on

television) to the more subtle differences in senses of humor or sexual appropriateness. Interestingly, Kotler and Keller note that “comparative ads [showing a competitor’s product], although acceptable and even common in the United States and Canada, are less frequent in the United Kingdom, unacceptable in Japan, and illegal in India and Brazil.”²⁹

As discussed briefly earlier, companies can and do sometimes choose to use the same advertising messages globally. In 1971, Coca-Cola successfully created an ad that had such universal appeal. Its “I’d Like to Teach the World to Sing” commercial was shot on an Italian hilltop and featured 500 young people of many races and nationalities, dressed in their traditional garb, standing hand-in-hand and raising their voices in a song of worldwide fraternity.³⁰ Companies can also create a spectrum of ads from which to choose when considering foreign markets, or they can develop advertising specific to a country or a region that speaks to a more targeted group of consumers.

Sales promotion can be a valuable tool in increasing awareness and sampling of a product and can include the use of coupons, sweepstakes, games, contests, demonstrations, premiums, samples, and money-refund offers. Particularly useful when launching a new product, sales promotion can also help in highly competitive markets and where products are standardized. Sales promotion can also be effective in business-to-business selling, offering middlemen incentives and providing gifts, trips, and sponsoring other events. When approaching global markets, however, companies may encounter legal barriers to certain forms of promotion. For example, Belgium requires a government tax stamp on window signs; the United States does not allow cigarettes to be given away as samples; lotteries are illegal in many countries; and most countries have established limits on the nature and value of gifts that can be provided.

General selling techniques may also have to be modified to better suit the approaches more commonly used in other cultures. While cosmetics company Avon typically used to use door-to-door selling in the United States and Latin America, Avon representatives in Asia called on only friends and relatives because Asians were usually wary of strangers at their door. Door-to-door selling was prohibited altogether in France. Practices of entertaining clients also varies across cultures. While it is common in the United States to entertain potential or existing customers at breakfast or lunch meetings, in most other cultures, it is customary to entertain after business hours, often over dinner or at a nightclub. Sales force motivation also differs globally. Individual incentives often clash with cultures that value teamwork most highly; studies have even shown that incentive pay actually has no effect on salesperson performance in Greece, India, and Malaysia.³¹

2.3.5 Pricing

As with domestic pricing, striking the right price for a product or service internationally is not easy. Globally, consumers still want a fair price that reflects the perceived value of the product. While pricing is still a function of cost, supply, and demand, pricing in the global marketplace is also affected by exchange rates, tariffs, culture, and local competition. To cover the added incremental costs of shipping, distribution, tariffs, and so on, companies often have to charge a higher price in the foreign market than they do domestically. Faced with this **price escalation**, companies must choose from what most academics agree are three basic global pricing strategies:

- *Extension or ethnocentric pricing*, or a “one price fits all” strategy. Here, the company sets one global price. While this approach is simple, it ignores the effects of currency fluctuations, local market conditions, and competition, and it is rarely ideal for maximizing global profits. U.S. toy maker Mattel discovered the problems with this strategy when it originally set one price for its global launch of Holiday Barbie and several other toys. When converted into foreign currencies, the products were priced too high for many foreign market consumers.
- *Adaptation or polycentric pricing*, or completely decentralized pricing. Companies using this approach allow their subsidiaries or affiliates to set the appropriate market price in their region. While this is the most sensitive approach to local markets, it not only ignores potential cost differences across countries but also sets up potential arbitrage opportunities, or even gray markets as a result of what can be significant pricing disparities. (See the sidebar “Gray Markets.”)
- *Geocentric pricing* recognizes that there are distinct differences that should be considered when pricing goods in foreign countries. This kind of pricing requires much more effort since it is a coordinated approach to leveraging global pricing experiences that must take into account local costs, income levels, competition, and local marketing strategy.

Dilemmas also arise from what is referred to as **transfer pricing**, or the price charged within a company’s international business units. How raw materials, components, or finished goods are transferred and accounted for within companies is often influenced by local market conditions (e.g., competitive pricing), tax regulations, currency controls, and customs duties or tariffs. Tax differentials across geographies naturally encourage companies to shift profits to low-tax countries. Companies can also be tempted to charge too little when entering a new foreign market, a practice referred to as *dumping*. Most governments frown upon both practices—searching for low-tax countries and dumping—and recommend maintenance of arm’s-length transactions within business units (what the going market rate would be for such a good if no relationship existed), and sometimes the governments charge tariffs on companies they accuse of dumping.

Gray Markets

When companies employ a polycentric or country-specific pricing strategy, they run the risk of creating what is called a gray market, or an arbitrage opportunity where unauthorized sellers purchase products at a lower price in one country and illegally resell them at a higher price in another country. It is estimated that information technology manufacturers alone lose upward of \$10 billion in profits annually to gray markets.³²

Also known as parallel importing, gray markets can significantly damage distributor relationships. Not only is there dilution of exclusivity, but there is a chance that an authorized channel member might fight back by providing lower quality service or salesperson training, thus tarnishing the company's reputation and/or negatively affecting brand equity. A situation of legal liability could also arise, as the reseller might be distributing products that may differ in quality or ingredients or be past their expiration date, and so on.

To fight against gray-market goods, the United States passed the Tariff Act of 1930, which forbids importation of foreign goods without permission of the trademark owner. Companies have also been successful in fighting the gray market by increasing their monitoring of distributors, raising prices to low-price distributors, and modifying products slightly so as to lessen their attractiveness in other markets.

2.3.6 Placement or Distribution

Placement or distribution can be the most vexing aspect of global marketing since methods of distribution often differ greatly across borders. A product must make its way from the producer to the final buyer by means of one or more channels, a process that can be quite simple in certain areas but incredibly complex in others. These choices typically go hand in hand with the decision on how to go global, as discussed previously.

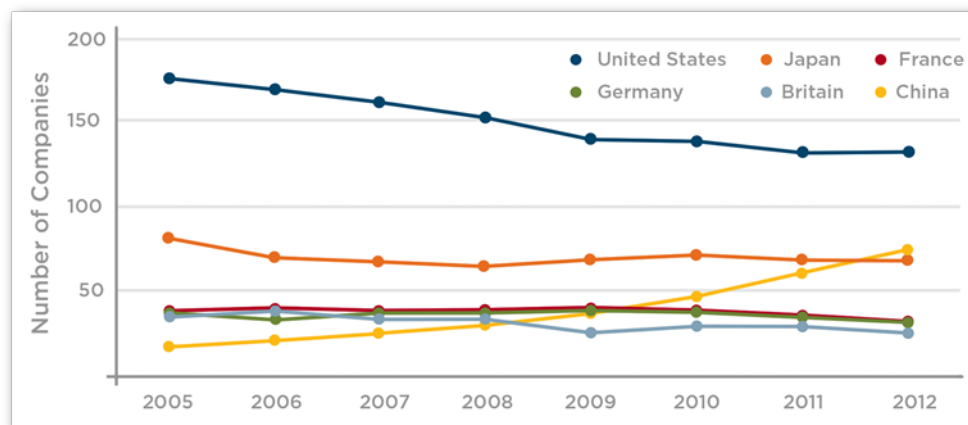
The simplest approach is to sell the product to a trading company, which assumes the responsibility for pushing it onward to customers abroad. But that arrangement takes control out of a company's hands. The most complex approach, but one with the greatest control, is to set up a company's own distribution network in the target country, using an in-country subsidiary staffed by locals who know the language and understand the market and business culture. Creating and managing such an arrangement requires substantial investment of capital and management energy. In between these extremes is the choice to form a joint venture, to locate company sales agents in

the target market, or to contract with local independent sales agents within the target market. Again, the decisions made here depend heavily on a company's resources, goals and expectations, size, and level of risk aversion.³³

2.4 Conclusion

Business leaders worldwide have recognized that we are now entering a "Third Wave," in which companies from emerging markets are becoming increasingly important global players. In fact, Ernst & Young estimates that 70% of world growth over the next few years will come from emerging markets, with China and India accounting for 40% of that growth.³⁴ According to *Fortune Magazine*, in 2002 there were just 11 Chinese firms on the Global 500; in 2012, 73 Chinese companies made the list³⁵ (see **Exhibit 7**).

EXHIBIT 7 The World's Top Global Companies (by revenue)



Source: Figure created from multiyear data accessed at: <http://money.cnn.com/magazines/fortune/global500/2012/global-company-growth/>, accessed May 13, 2013.

In the United States, globalization continues to represent tremendous opportunities for companies. In 2011, approximately 40% of profits for firms listed in the S&P 500 stock index came from overseas.³⁶ Perhaps Kofi Annan, former secretary-general of the United Nations, put it best: "It has been said that arguing against globalization is like arguing against the laws of gravity."³⁷

Theodore Levitt predicted a world of increasing marketing uniformity in his landmark 1983 article, saying that there would be millions or billions of potential new customers within reach for any company willing to expand beyond its settled domestic market. While he prematurely anticipated the

disappearance of national and regional preferences, the plain fact is that there is a multitude of potential customers worldwide. Most of these customers are accessible to most companies that have the desire to enter foreign markets, if they are willing to engage in the work of thinking through a careful marketing strategy. This marketing strategy must identify the similarities and differences among foreign consumers relevant to each company's products, and how various aspects of its products and marketing mix must be maintained or adapted to thrive in those international markets.

Most businesses, then, have yet to experience the simplicity of selling standardized products around the world, and there is yet to be one global marketing strategy that all companies should follow. Each company, each industry, and each product is still unique. Companies must therefore focus efforts on how to best resolve these inherent challenges, while also defining management's ideals, vision, and philosophy toward globalization.

Despite these ongoing issues, most leaders now agree that to remain competitive in most industries today, even in each company's home country, globalization must be addressed.

This reading was intended as a primer for what organizations should consider when preparing to go global. The Supplemental Reading continues the discussion.

3 SUPPLEMENTAL READING

3.1 Global Marketing of Services

With increases in global buying power has come increased demand, not just for exceptional products but also for premium services. (See the sidebar "What Is a Service?") Particularly in industries that had been domestic monopolies with little pressure to improve or even keep up with global service standards, advances in communication technologies and the opening of borders have created significant opportunities for service companies worldwide. In fact, services represent the fastest growing sector of the global economy and account for two-thirds of global output, one-third of global employment, and nearly one-fifth of global trade. The United States is the world's leading producer and exporter of services; services account for 79% of the country's private sector output. Education and tourism are a large component of this; more than 700,000 foreign students currently attend U.S. colleges and universities. But the United

States is not unique in the importance of services to its economy; in Hong Kong, for example, services account for 85% of GDP.³⁸

What Is a Service?

The service industry includes such consumer- and business-focused services as travel, entertainment, education, telecommunications, health care, transportation, accounting, advertising, engineering, investment banking, legal services, publishing, and energy and environmental services. Although services tend to be considered intangible goods, technology has allowed for services now to be embedded in physical goods like software on a CD, or a movie on a DVD.

And yet in the marketing industry, the majority of textbooks and academic literature have traditionally focused on the marketing of tangible goods rather than services because until recently, trade in products was simply easier to accomplish than trade in services. While shipping products overseas is relatively straightforward, exporting services historically meant setting up shop in another country, which entailed either hiring, training, and controlling workers in that country or educating and sending one's own employees to that country. In addition to the sometimes daunting linguistic and cultural barriers, many countries also erected nontariff trade barriers for services. These have included local labor and content requirements, ownership restrictions, foreign exchange controls, employment bans, quotas, local standards, and discriminatory taxation policies. Countries also restricted the use of national satellites, placed minimum capital requirements on foreign ownership, and frequently disregarded intellectual property rights.

But today, advances in communication technologies have effectively leveled the playing field between products and services, and in many cases, trade in services has become easier to manage than trade in products. For example, selling music through a downloading service is much easier and more cost-effective than shipping it as a physical product. It should be noted that this is not just a business-to-consumer (B2C) phenomenon; we have also seen enormous growth in call center and IT outsourcing. Under pressure from their own citizens and consumers, many countries have begun to dismantle protection of their domestic service industries and even privatize domestic monopolies, opening up utilities, telecommunications, and mail delivery, for example, to foreign competition.

While technological advances have enabled trade in services to increasingly resemble trade in tangible goods, there are key differences that must be

considered when plotting a global service marketing strategy. As a rule, successful delivery of services tends to be highly dependent on person-to-person interaction since services are typically performed *by* someone *for* someone else. Therefore, the provision of services typically requires that greater attention be paid to cultural differences and customs. This may entail greater investment in local human resources, more screening and training of personnel, and a more centralized IT infrastructure to facilitate and improve communication and feedback. Both Disney and McDonald's had to learn this lesson: Disney relented on its ban on alcohol at Euro Disney, and McDonald's relaxed its tight control over menus to allow its global franchises to create dishes more suitable to local tastes.

On the other hand, having created culturally competent organizations, global service businesses will often find that selling services has advantages over selling products. For example, services are often easier to differentiate, which can provide a competitive advantage and allow companies to offer benefits not provided by their local competitors. Particularly in developing markets, international firms can sometimes provide premium features, accessing state-of-the-art technologies not yet available domestically or implementing cost- or time-saving features. AIG, for example, allows its Chinese customers to pay their bills via bank transfers, whereas Chinese insurance companies still require customers to wait in lines to pay their bills in cash.³⁹

While technological and cultural changes have made global trade in services much more pervasive, their impact differs from industry to industry and from culture to culture. For example, selling legal services to another country may be much harder than selling entertainment since legal services tend to be extremely specific to a particular country whereas entertainment is most often geographically agnostic. Engineering services, on the other hand, have long been international in character, as opposed to educational services, which are just beginning to benefit from technological advances and global accessibility.

As a service company begins to consider a global marketing strategy, these factors will have to be added to the influences of company, industry, and market discussed in the Essential Reading section of this reading.

4 KEY TERMS

country of origin effect The influence of where a product is made on a consumer's perception of that product; preexisting opinions about a country can lead to positive or negative customer bias.

economies of scale The cost advantages that arise with increased volume output of a product; the greater the quantity of a good produced, the lower the per-unit fixed cost because these costs are shared over a larger number of goods.

global marketing A company's effort to apply internationally the principles learned from its domestic marketing programs and create an integrated strategy not on a country-by-country basis, but with a global perspective on all aspects of the marketing mix.

glocal A hybrid strategy incorporating both global and local aspects of business.

life cycle The stages through which a product typically passes over time, starting with development, introduction, growth, maturity, and decline.

marketing mix The components of an effective marketing strategy, typically involving product, price, placement, and promotion (the 4 Ps); the term was first coined by Neil Borden, the president of the American Marketing Association in 1953.

price escalation A disparity in pricing across geographies, where products have a higher price in a foreign market than in the domestic market due to added costs related to shipping, distribution, tariffs, etc.

transfer pricing The price charged within a company's international business units or how raw materials, components, or finished goods are transferred and accounted for within companies; pricing is often influenced by local market conditions, tax regulations, currency controls, and customs duties or tariffs.

vertical integration A style of management control whereby a company takes on greater ownership and control of the various parts of its production supply chain.

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